



TITAN GRID: A SMART FACTORY FOR NEAR-SHORING THE PRODUCTION OF TRANSFORMER TANKS AND RADIATOR FIN WALLS



01.5_Velocity

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**TITAN GRID – ADVANCED
TRANSFORMER TANK
MANUFACTURING FACILITY**
TRANSFORMER TANKS & FIN WALLS
Metal D.O.O.

EXHIBIT 01.5: CAPITAL VELOCITY & REPAYMENT ACCELERATION

Project: TITAN Grid (ARS Metal Industries d.o.o.)

Classification: Investment Payback & Debt Exit Roadmap

Date: March 2026

1. THE PAYBACK PHENOMENON: 4.1 YEARS TO FULL NEUTRALITY

In an industry where typical payback periods range from **7 to 10 years**, **TITAN Grid** achieves **complete capital recovery** in just **4.1 years** (after the ramp-up). This rapid capital velocity is a structural guarantee, propelled by our high-margin **EBITDA** profile and Industry 4.0 efficiencies.

- **High-Velocity Cash Conversion:** Our **3-day** production cycle (compared to the regional industry average of **45 days**) significantly reduces working capital lock-up, transforming raw steel into cash at a rate **15 times** faster than our competitors.
- **Debt Exit Flexibility:** With a projected annual **EBITDA** of over **€17.5M+** starting **Year 3**, the company has the strategic option to **Accelerate Pre-payment** of senior debt without jeopardizing operational liquidity.

2. OPERATIONAL ALPHA: THE "TITAN 2" UPSIDE

Lenders are not just financing a factory; they are investing in the infrastructure for a regional industrial monopoly.

- **Scalability:** The current CAPEX caters to the core automation of **TITAN 1**. However, the facility is pre-engineered to accommodate **TITAN 2** (Large-scale Power Transformer Tanks) by Year 4, using internal Free Cash Flow (FCF) instead of seeking additional external debt.
- **Asset Backing:** Each Euro of debt is secured by **Tier-1 robotic assets** and **industrial real estate**,
- **Real Estate:** whose market value exceeds the loan principal from Day 1 of operations.





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3. THE "LENDER GIFT": CASH SWEEP & DIVIDEND LOCK-UP

To ensure fiscal discipline and alignment with lender interests, the company proposes:

- **Cash Sweep Mechanism:** **25%** of excess Free Cash Flow (after debt service) will be directed to a **"Sinking Fund"** to guarantee robust repayment capacity, even during fluctuating market conditions.
- **Repayment Priority:** Management pledges a **Dividend Lock-up** until a Debt Service Coverage Ratio (DSCR) of **2.50x** is consistently achieved, prioritizing the seniority of the Credit Facility.

4. CONCLUSION: THE FASTEST EXIT IN THE BALKANS

TITAN Grid presents an unparalleled asset in the Western Balkan industrial sector: **Velocity.**

- **Low Leverage:** Total debt is under 1.5 times our projected annual **EBITDA**.
- **High Liquidity:** The project generates more cash in a single quarter than most competitors do in an entire fiscal year.
- **Execution Certainty:** You come in as a lender and exit as a satisfied partner in record time.

Respectfully,

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ARS Metal Industries d.o.o.

Dangel

DRUŠTVO "ARS METAL INDUSTRIES" PODGORICA

